Annual Report on Debt Capital and External Finance Approvals



CFO DIVISION

University of California Office of the President

December 31, 2016

TABLE OF CONTENTS

Preface	1
Financial Markets Overview	2
Overview of University's Debt	3
Credit Ratings	7
Appendix A Investment Grade Rating Definitions	A-1
Appendix B Summary of External Finance Approvals	B-1

PREFACE

The *Annual Report on Debt Capital and External Finance Approvals* is intended to provide the Regents with an overview of the University's debt capital program. This document serves as a background piece that addresses questions related to the University's overall debt capital structure, the University's financial strength as viewed by the capital markets, and the outlook for future financing flexibility.

At the July 16, 2009 Meeting of the Committee on Governance, *The Schedule of Reports to The Regents* was amended to incorporate *The Report on External Finance Approvals* into this report. As such, this report also includes a summary of external finance approvals for the fiscal year ending June 30, 2016 and through the end of calendar year 2016.[1]

The *Annual Report on Debt Capital and External Finance Approvals* contains the following information:

- Overview of the University's outstanding indebtedness,
- Summary of debt issuance over the past calendar year,
- Update of the University's credit ratings,
- Overview of the University's Debt Policy, and
- Summary of external finance approvals

[1] Please see last page of report for footnotes.

FINANCIAL MARKETS OVERVIEW

Capital market conditions for municipal issuers were highly favorable through most of calendar year 2016, with low rates throughout the year until the U.S. Presidential election in early November. The 30-Year MMD High Grade Index, a barometer for the highest-rated municipal debt, and the 30-Year U.S. Treasury (UST) yield both hit all-time lows, of 1.93% and 2.11% respectively, in July. As of December 31, 2016, 30-Year MMD was 3.04% and the 30-year UST yield was 3.06%.

Sluggish U.S. economic growth, weak oil prices, and a poor global outlook were among the factors keeping rates low in the first half of 2016. The United Kingdom's Brexit referendum in June added significant volatility to bond markets and triggered demand globally for safer assets, and the SEC's money market reforms in October increased short-term and variable rates for municipal issuers. Long-term rates, however, remained favorable through the beginning of November.

After the November 8 U.S. Presidential election, taxable and tax-exempt yields increased quickly and bond funds experienced outflows of nearly $7.5 billion. Much of this can be attributed to investor expectations that a new, primarily Republican, government will increase infrastructure spending and cut taxes, leading to higher inflation and government debt issuance.

On December 14, Chair of the Federal Reserve System Janet Yellen raised the target range for the federal funds rate from 0.50% to 0.75%. While market impact has been mixed, the increased probability of additional rate hikes in 2017 and the potential for inflationary fiscal policy will likely be continued points of focus for municipal issuers and investors in the coming year.

As a result of sequestration, Federal subsidies for Build America Bonds interest payments were cut by 6.9% for the Federal fiscal year beginning October 1, 2016. Federal subsidies were reduced by 6.8% for the previous Federal fiscal year.

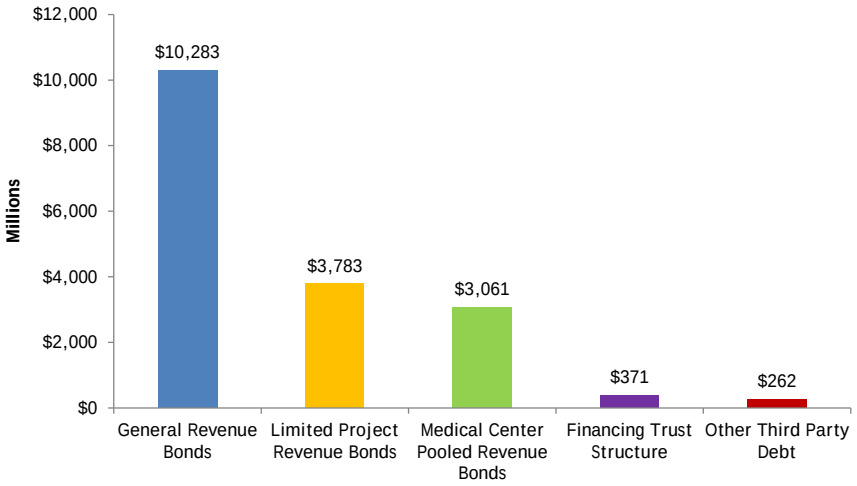
OVERVIEW OF UNIVERSITY'S DEBT

As of December 31, 2016 the University has $17.8 billion of outstanding debt and $2 billion in authorized commercial paper (CP). The weighted average cost of capital of the outstanding debt is 3.9% and the average life is 22.9 years.[2] The tax-exempt portion of the debt portfolio has a weighted average cost of capital of 3.5% and average life of 16.1 years, while the taxable portion has a weighted average cost of capital of 4.2% and average life of 30.7 years.

University's Debt by Credit Type

The University generally issues debt under one of three different credit types- General Revenue Bond (GRB), Medical Center Pooled Revenue Bond (MCPRB), and Limited Project Revenue Bond (LPRB). The University has also issued debt through a financing trust structure and third party conduits. In addition, the University previously had debt outstanding under its Hospital Revenue Bond (HRB) credit, which has been refunded by the MCPRB credit.

Debt Outstanding by Credit Type



As of December 31, 2016

General Revenue Bonds. The GRB credit serves as the University's primary borrowing vehicle and is utilized to finance projects that are integral to the University's core mission of education and research. The GRB credit is secured by the University's broadest revenue pledge, and was introduced in 2003 to replace and consolidate several purpose-specific credits. This credit consolidation serves to increase the University's overall debt capacity by pledging a broad revenue base (totaling $15.3 billion for FY 2016), facilitate the capital markets' understanding of the University's credit, and improve our overall ratings by recognizing the financial strength of the UC system. The University has approximately $10.3 billion of outstanding GRB debt.

[2] Please see last page of report for footnotes.

Limited Project Revenue Bonds. The LPRB credit, established in 2004, is used to finance primarily auxiliary services such as student housing and parking. Pledged revenues for FY 2016 was $1.3 billion. The University has approximately $3.8 billion of outstanding LPRB debt. The LPRB credit provides the University's bondholders with a subordinated pledge of gross revenues derived only from facilities financed under the structure. This credit was created to conserve debt capacity in the GRB credit for mission-based projects.

Medical Center Pooled Revenue Bonds. The MCPRB credit serves as the primary financing vehicle for hospital debt. The University has approximately $3.1 billion of MCPRBs outstanding. These bonds are secured by gross revenues of the five medical centers, which are excluded from general revenues pledged for GRBs. In FY 2016 gross revenues of the medical centers totaled $10.4 billion. The first MCPRBs were issued in January 2007, and this credit has since replaced the HRB credit. Previously, with the HRB credit, the medical centers issued debt on a stand-alone basis, secured by their individual revenue streams. The pooled credit lowers borrowing costs, facilitates access to the financial markets, and increases debt capacity for the medical centers. The MCPRBs were subordinate in payment priority to the prior pledges given to the HRBs. In August 2016, the outstanding senior lien HRBs were refinanced under the new pooled credit, eliminating this senior lien.

Financing Trust Structure. The University has approximately $371 million of outstanding third party housing debt (i.e. debt issued by a party other than the University but for a project in which the University has an economic interest) under its Financing Trust Structure (FTS) credit. Currently the projects in the FTS are all housing projects on the Irvine campus. Use under this credit is expected to extend to several other campuses in coming years in support of the President's system-wide student housing initiative. The FTS credit was created to reduce the financing cost of non-core projects, but with a smaller impact on the University's debt capacity (debt issued under the FTS credit is not counted against the University's debt capacity on a 1:1 basis). The bonds are secured solely by gross revenues of the projects financed.

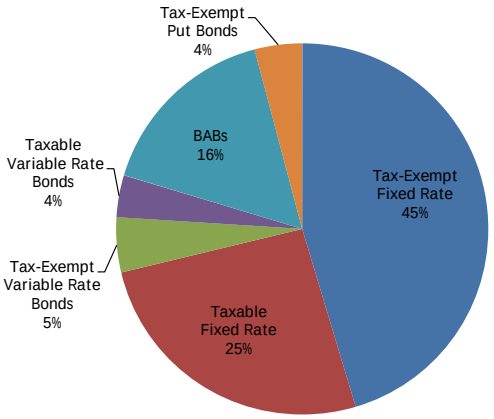
Other Third Party Debt. Currently, the University has approximately $262 million outstanding through the California Infrastructure and Economic Development Bank (CIEDB), which financed the costs of a Neurosciences Building at the San Francisco campus and a new research facility at the San Diego campus for the Sanford Consortium for Regenerative Medicine. The Neurosciences Building transaction was facilitated through a lease-leaseback structure. For the Sanford Consortium project, the University provided credit support on $60 million to finance the costs of a stem cell research facility for a consortium of institutions, including the San Diego campus, conducting stem cell research. Both bonds were issued in calendar year 2010. In addition, the University has other third party, non-recourse debt for housing projects.

Commercial Paper. The University's CP program has an authorized amount of $2.0 billion. In calendar year 2016, the average amount of CP outstanding was approximately $1.0 billion. Total CP outstanding at the end of calendar year 2016 was approximately $713 million. The program is used for a variety of purposes, including the funding of working capital and to provide interim funding for approved projects that are eventually to be funded using permanent financing.

University's Debt by Tax Status and Interest Rate Mode

The University's debt is composed of tax-exempt and taxable debt, and fixed rate and variable rate debt. In recent years, the University has taken advantage of low rates to issue more taxable and variable rate debt. Relative to tax-exempt bonds, taxable bonds provide the University more flexibility with regards to private use in debt-financed projects. Most of the variable rate debt has been hedged with fixed rate swaps.

Debt Outstanding by Tax Status and Interest Rate Mode[3]



$17.8 Billion Total Outstanding

Debt Issuance in 2016

In calendar year 2016 the University issued approximately $2.7 billion of debt, to finance new projects and attain approximately $319 million in refunding debt service savings.

Debt Issuance in 2016

Dated Date	Series Name	Par Amount (in 000s)	Use of Proceeds
March 15, 2016	UC Irvine East Campus Apts Series 2016 (Financing Trust Structure)	$282,555	Refunding
April 20, 2016	General Revenue Bonds 2016 Series AR, AS, AT, and AU	$813,085	New Money and Refunding
June 30, 2016	Limited Project Revenue Bonds 2016 Series K and L	$532,070	New Money and Refunding
August 17, 2016	Medical Center Pooled Revenue Bonds Series L and M	$1,046,155	New Money and Refunding
October 6, 2016	Sanford Consortium Project Series 2016A	$54,280	Refunding

[3] Please see last page of report for footnotes.

UC Irvine East Campus Apartments (Financing Trust Structure). In March $283 million of bonds were issued through a conduit issuer to refund existing bonds for total debt service savings of approximately $87 million. The original bonds financed student housing projects at the Irvine Campus for undergraduate and graduate students.

General Revenue Bonds AR, AS, AT, and AU. In April the University issued approximately $813 million in GRB Series AR and AT (tax-exempt), AS (taxable), and AU (taxable fixed rate notes). The issuance was largely to finance new projects across nine campuses, one national laboratory, and for one system-wide project. The debt issuance also refunded existing debt for debt service savings in a low interest rate environment; refunding savings totaled approximately $14 million. The taxable component allows for flexibility with regards to private use.

Limited Project Revenue Bonds K and L. In June the University issued $532 million in LPRB Series K (tax-exempt) and L (taxable). This transaction financed $442 million in new, mostly student housing, projects across six campuses and refunded existing debt for debt service savings of approximately $27 million. The taxable component allows for flexibility with regards to private use.

Medical Center Pooled Revenue Bonds L and M. In August the University issued approximately $1.046 billion in MCPRB Series L (tax-exempt) and M (taxable). These bonds financed approximately $458 million in new projects for all five medical centers and refunded existing debt for debt service savings of approximately $184 million. The taxable component allows for flexibility with regards to private use.

California Infrastructure and Economic Development Bank (Sanford Consortium). In September $54 million of bonds were issued through a conduit issuer to refund existing bonds for total debt service savings of approximately $7 million. The original bonds financed the Sanford Consortium for Regenerative Medicine Research Building, a research laboratory facility designed to expand collaborative work in stem cell research on a site leased from the UC San Diego campus.

CREDIT RATINGS

The credit ratings of the University's bonds directly impact the cost of funding: the higher the credit rating, the lower the cost of borrowing, and vice versa. Generally, the credit ratings of major public research universities are a function of several factors. These factors include the following: student quality and demand issues; State support; the amount of debt outstanding, the amortization of the debt and the security features of the debt; operating performance, including nature and diversity of revenue base; asset base, including endowment and the liquidity of the asset base; and non-financial issues such as the quality of leadership and management.

The University's GRB credit is rated Aa2/AA/AA, while the LPRB and MCPRB credits are rated Aa3/AA-/AA- by Moody's, S&P, and Fitch, respectively. The outlooks on the credits from all three rating agencies are stable. The following table illustrates the current underlying ratings of the University's various credits. Please see Appendix A for an overview of credit rating definitions.

The University's Ratings/Outlooks			
	Moody's	**Standard & Poor's**	**Fitch**
General Revenue Bonds	Aa2/Stable	AA/Stable	AA/Stable
Limited Project Revenue Bonds	Aa3/Stable	AA-/Stable	AA-/Stable
Medical Center Pooled Rev Bonds	Aa3/Stable	AA-/Stable	AA-/Stable
Commercial Paper	P-1	A-1+	F-1+
FTS and Other Third Party Debt:			
Financing Trust Structure	Baa1	NR	NR
CIEDB UCSF Neurosciences	Aa3/Stable	AA-/Stable	NR
CIEDB UCSD Sanford Consortium	Aa2/Stable	AA/Stable	NR

Moody's and S&P's ratings are as of September 2016, and Fitch's ratings are as of June 2016

NR = Not Rated

The University's credit ratings were reaffirmed by the rating agencies in rating reports for the University's bond issuances in 2016. In its March 22, 2016 report, Moody's cites "the magnitude of the university's operations, global academic and research reputation, economic importance and role in providing high-end healthcare services throughout the state of California" as justification of the ratings. It further states, "Extensive total cash and investments, good liquidity, and strong fundraising capacity further anchor the university at the Aa2 rating" as additional credit strengths, but also points out weaknesses, "while it works to balance operations due to rising fixed costs and ongoing revenue constraints." The report also cites continued high and growing debt, and University of California Retirement Plan (UCRP) and OPEB liabilities as credit concerns.

In response to similar concerns echoed by the Regents, a Debt Strategy Task Force was organized in 2014 and Debt Policy for the University was presented to, and approved by, the Regents in 2016. The overarching goal of the Debt Policy is to ensure that the University maintains ready access to the debt capital markets to meet the University's financing needs to invest in its mission and financial health. In support of this objective, the Debt Policy provides certain guidelines and parameters to

guide the use, structuring, and management of debt to allow the University to continue to actively manage its credit profile. Of particular importance, under the Debt Policy, the University will maintain GRB credit ratings in the "AA" category in order to maintain continued access to the debt capital markets at favorable rates.

Debt Capacity

Debt capacity refers to the amount of incremental debt an institution can issue at a given rating level. It speaks to both source of payment and source of credit: the institution's ability to service the debt from identified revenue sources and the broader financial health of the institution and the security package offered to bondholders. In assessing financial strength, the rating agencies and capital markets focus on certain balance sheet, income statement, and cash flow metrics. The University has developed a series of such debt affordability metrics that it uses to monitor incremental capacity and in approving additional debt financing.

Amidst a challenging financial backdrop and a downturn in State funding, the University's financial profile has shifted meaningfully in recent years, which has affected how the University quantifies debt capacity. For instance, while the University's debt service to operations is manageable at approximately 4% for FY 2015-16, other operating and balance sheet metrics are challenged. Unfunded pension and OPEB liabilities have had a tempering effect on capacity, as have recent operating deficits, as measured on a full accrual basis. Still, the University benefits from many credit strengths that support the "AA" category rating, including, among others, essentiality, tremendous student demand, world-renowned academic and research programs, a large and diverse revenue base, and substantial liquidity.

The University remains committed to managing its debt portfolio to maximize capacity while maintaining "AA" category ratings on the core GRB credit, ensuring access to capital at attractive rates. To that end, the University has continued to make use of its differentiated credit structure by financing auxiliary projects under the LPRB credit, preserving the core GRB credit for mission-critical projects. Based on these various factors, the University estimates incremental debt capacity, utilizing its credit spectrum, over the next five years to continue to be up to $3 billion with existing debt amortization and stronger financial metric trends. The University's recent reaffirmation of its overall liquidity guidelines reinforces this debt capacity estimate. This estimate will vary depending on a variety of factors, including future State support, project type, and continued use of the tiered credit strategy. Importantly, future capacity is also contingent on a return to financial equilibrium.

Appendix A: Definitions of Financial Ratios

Moody's	S&P	Fitch	Description
"Aaa"	"AAA"	"AAA"	Bonds rated in this category are judged to be the highest quality.
"Aa1"	"AA+"	"AA+"	Bonds in the Aa/AA rating category are judged to be of high quality and standards. Together with the AAA category are generally known as high grade bonds.
"Aa2"	"AA"	"AA"	
"Aa3"	"AA-"	"AA-"	
"A1"	"A+"	"A+"	Bonds rated in the A/A category are considered upper medium grade obligations.
"A2"	"A"	"A"	
"A3"	"A-"	"A-"	
"Baa1"	"BBB+"	"BBB+"	Bonds rated in the Baa/BBB category are considered medium grade obligations. They are neither highly protected nor poorly secured.
"Baa2"	"BBB"	"BBB"	
"Baa3"	"BBB-"	"BBB-"	

Appendix B: Summary of External Finance Approvals

The summary of External Finance Approvals describes the approval actions taken for Fiscal Year 2015-16 through December 31, 2016[4]. It incorporates the following information:

- Delegated actions from the Regents to the President for projects that have been presented in campus' 10-year Capital Financial Plans
- Regental actions (total project cost above $20 million)
- Actions by Concurrence (approval by the Chair of the Board, the Chair of the Finance and Capital Strategies Committee, and the President) (total project cost between $10 million and $20 million)
- Presidential approvals (total project cost between $5 million and $10 million)

A total of approximately $863 million[5] was approved by the Regents/President in external financing for capital projects, real estate transactions, and other uses during fiscal year 2015-16. During the remainder of calendar year 2016, $1.3 billion of external financing was approved, $600 million of which was for Merced 2020. Approximately $720 million of the approvals during FY 2015-16 and the rest of calendar year 2016 have been financed; $334 million of the approvals were financed through bond issuances in calendar year 2016 and approximately $387 million of the approvals were to use previously issued Century Bonds. The following table summarizes the debt and associated uses approved during this timeframe.

[4] Please see last page of report for footnotes.
[5] Please see last page of report for footnotes.

EXTERNAL FINANCE APPROVALS: JULY 1, 2015 THROUGH DECEMBER 31, 2016

EXTERNAL FINANCE APPROVALS: JULY 1, 2015 THROUGH DECEMBER 31, 2016						
Campus	Project Name	Approval Date	Approval Type	Use AB94 or Century Bonds	Debt Approved ($000s)	Total Project Cost ($000s)
Berkeley						
	None					
Davis						
	2015-16 Deferred Maintenance Program[6]	7/2015	Delegated	Century Bonds	**$ 15,000**	$ 16,073
	Tercero DC Renovation	7/2015	Delegated		**5,242**	6,990
	Health Sciences Education Expansion (Betty Irene Moore Hall)	8/2015	Delegated		**35,184**	51,584
	North Addition Office Building[6]	9/2015	Regents		**87,500**	87,500
	Surface Water Pipeline and Pump Station	2/2016	Delegated		**364**	8,064
	Activities and Recreation Center Expansion	3/2016	Delegated		**9,100**	15,000
	Electrical Improvements Phase 6	3/2016	Delegated		**7,670**	7,670
	Primary Sanitary Sewer and Storm Drain Lift Stations Improvements	3/2016	Delegated		**3,119**	3,119
	University Tower 2nd Floor Operating Rooms Remodel[6]	3/2016	Delegated		**21,214**	21,214
	Waste Water Treatment Plant Improvements	3/2016	Delegated		**1,950**	1,950
	Central Cage Wash Facility	8/2016	Delegated		**12,182**	12,182
	Davis Sub-total				**$ 198,525**	**$ 231,346**
Irvine						
	Capital Renewal and Infrastructure Improvement Program Phase 2[6]	11/2015	Delegated	Century Bonds	**$ 30,300**	$ 32,000
	2016-2025 Statewide Energy Partnership Program	1/2016	Regents		**10,434**	13,539
	UCI Medical Center Electrical Plant[6]	3/2016	Regents		**33,178**	33,178
	UCI Medical Center Central Chiller Plant[6]	4/2016	Delegated		**33,708**	33,708
	Classroom and Office Building	5/2016	Delegated		**61,874**	66,874
	UCI Medical Center Emergency Power Upgrade[6]	5/2016	Delegated		**8,667**	8,667
	Interdisplinary Sciences Building	11/2016	Regents		**37,750**	70,000
	Irvine Sub-total				**$ 215,911**	**$ 257,966**
Los Angeles						
	Center for the Health Sciences South Tower Seismic Renovation[6]	11/2015	Regents		**$ (16,612)**	$ 203,290
	Center for the Health Sciences South Tower Lab Furniture Installation	12/2015	Delegated		**8,225**	8,225
	2016-2025 Statewide Energy Partnership Program	1/2016	Regents		**17,267**	25,067
	Santa Monica Orthopaedic Hospital Legal Settlement[6]	3/2016	Regents		**44,000**	44,000
	Center for the Health Sciences South Tower Post-Occupancy Improvements[6]	10/2016	Delegated	Century Bonds	**41,780**	43,100
	Acquisition of 10889 Wilshire Blvd. (office building & museum, Los Angeles)[6]	10/2016	Regents (Interim)	Century Bonds	**96,000**	96,000
	Franz Hall Tower Seimic Renovation	11/2016	Regents		**25,000**	25,000
	1223 16th Street Medical Office Building	11/2016	Regents		**89,100**	89,100
	Margan Apartments Redevelopment	12/2016	Delegated		**33,600**	42,000
	Los Angeles Sub-total				**$ 338,360**	$ 575,782
Merced						
	Downtown Center[6]	7/2015	Regents	Century Bonds	**$ 41,998**	$ 45,116
	Merced 2020[6,7]	7/2016	Regents	AB94,Century Bonds	**600,000**	1,338,480
	Next Generation Network Program - Project Phase 2[6]	9/2016	Delegated	Century Bonds	**2,650**	6,926
	Merced Sub-total				**$ 644,648**	$ 1,390,522
Riverside						
	Multidisciplinary Research Building 1	7/2016	Regents		**$ 150,000**	$ 150,000
	2016-17 Deferred Maintenance and Facility Investment Program[6]	11/2016	Delegated	Century Bonds	**7,500**	7,500
	Riverside Sub-total				**$ 157,500**	$ 157,500
San Diego						
	Jacobs Medical Center[6]	12/2015	Regents (Interim)		**$ 70,350**	$ 942,790
	2016-2025 Statewide Energy Partnership Program	1/2016	Regents		**18,877**	24,020
	Clinical and Translational Research Institute Building[6]	3/2016	Administrative		**(4,229)**	265,277
	Acquisition of Torrey Pines Court Complex, San Diego	5/2016	Regents (Interim)		**135,300**	135,300
	Acquisition of Office Complex, San Diego	11/2016	Regents (Interim)		**16,500**	84,060
	Nuevo West Graduate Student Housing	12/2016	Regents		**177,992**	178,292
	San Diego Sub-total				**$ 414,790**	$ 1,629,739
San Francisco						
	Acquisition of 600 Minnesota St. (land parcels, San Francisco)[6]	9/2015	Regents		**$ 56,000**	$ 56,000
	2015-16 Deferred Maintenance and Facility Investment Needs Program[6]	4/2016	Delegated	Century Bonds	**56,337**	59,828
	CHRCO Master Facility Plan Phase 1[6]	7/2016	Regents		**50,000**	180,000
	San Francisco Sub-total				**$ 162,337**	$ 295,828
Santa Barbara						
	None					
Santa Cruz						
	Acquisition of 3175 Bowers (classrooms, offices, AV studios, Santa Clara)[6]	9/2015	Regents	Century Bonds	**$ 45,000**	$ 53,845
	2016-2025 Statewide Energy Partnership Program	1/2016	Regents		**3,560**	4,779
	Crown College Residence Halls Major Maintenance	1/2016	Delegated		**22,150**	44,300
	Santa Cruz Sub-total				**$ 70,710**	$ 102,924
Office of the President						
	14350 Meridian Parkway 1st Floor S. Wing Tenant Improvements	9/2016	Delegated		**$ 2,989**	$ 5,989
	UCOP Sub-total				**$ 2,989**	$ 5,989
Total: FY 2015-16					**$ 862,727**	**$ 2,318,967**
Total: Remainder of Calendar Year 2016					**$ 1,343,043**	**$ 2,328,629**

[6] Please see last page of report for footnotes.

[7] Please see last page of report for footnotes.

[1] The timeframe of external finance approvals in prior years' versions of this report was the fiscal year, while the rest of the information in the report was for the calendar year. To transition to the same timeframe as the rest of the report, the information for external finance approvals covers fiscal year 2015-16 and the rest of calendar year 2016. Going forward, the Annual Report on Debt Capital and External Finance Approvals will cover the same time period of the most recent calendar year.

[2] The calculation assumes the following:
- Takes into account BABs subsidies
- Excludes non-core credits and FTS debt
- GRB Series Y and Z assume interest rate at 3% and principal is amortized FY 2038-2042
- GRB Series AH assumes principal is amortized FY 2038-42 and interest rate at 3% after 7/1/19
- GRB Series AK assumes principal is amortized FY 2038-2044
- GRB Series AL assumes interest rate at fixed payer swap rate until 10/1/23; then 2.75%
- GRB Series AT assumes principal is amortized FY 2029–2036; and interest rate at 1.400% through 5/15/2021, then 5.00% until maturity
- GRB Series AU assumes principal amortized FY 2022–2029; and interest rate at 1.910% through 5/15/2021, then 6.00% until maturity
- MCPRB Series B-1, B-2, and C-2 assume interest rates at fixed payer swap rates
- MCPRB Series K assumes interest rate for the hedged portion at the fixed payer swap rate and the unhedged portion at 2.75%

[3] All variable rate debt has been swapped to fixed rate, except GRB Series Y-1 and Y-2 ($500 MM), GRB Series Z ($150 MM) and a portion of MCPRB Series K ($5.55 MM unhedged); does not include CP and bank lines of credit.

[4] The timeframe of this information in prior years' versions of this report was the fiscal year, while the rest of the information in the report was for the calendar year. To transition to the same timeframe as the rest of the report, the information in these tables covers the fiscal year 2015-16 through the rest of calendar year 2016. Going forward, the information in the report will cover the same time period of the most recent calendar year.

[5] This amount is net of a reduction in external financing of approximately $20.8 million requested for two projects, the Center for the Health Sciences South Tower Seismic Renovation at UCLA (approximately $16.6 million reduction), and the Clinical and Translational Research Institute Building at UC San Diego (approximately $4.3 million reduction).

[6] Denotes projects which have been financed into long-term bonds, including Century Bonds.

[7] Merced 2020 amount includes $400 million from AB 94 funding and $50 million from Century Bonds.